

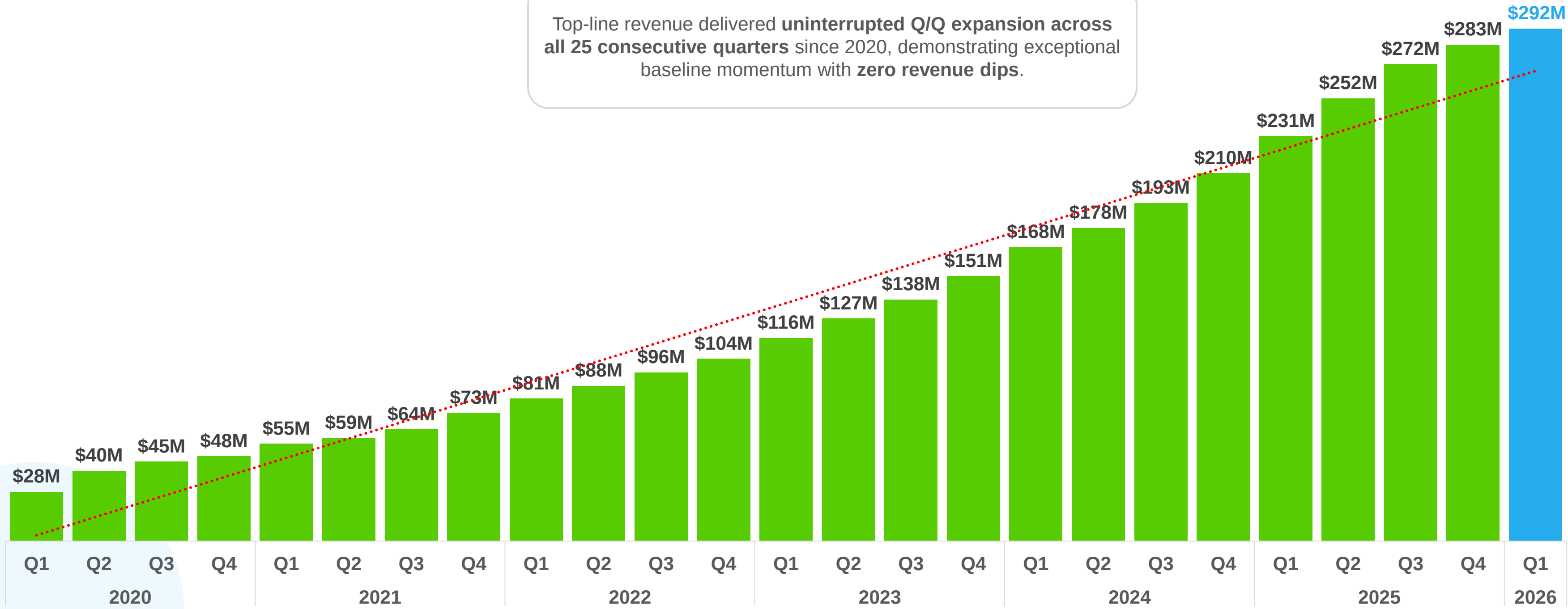
Duolingo Inc.

Revenue Analysis

Duolingo Revenue Reached **\$292M** in Q1 2026; Expanded **10x** since 2020 with **Uninterrupted Quarterly Growth**

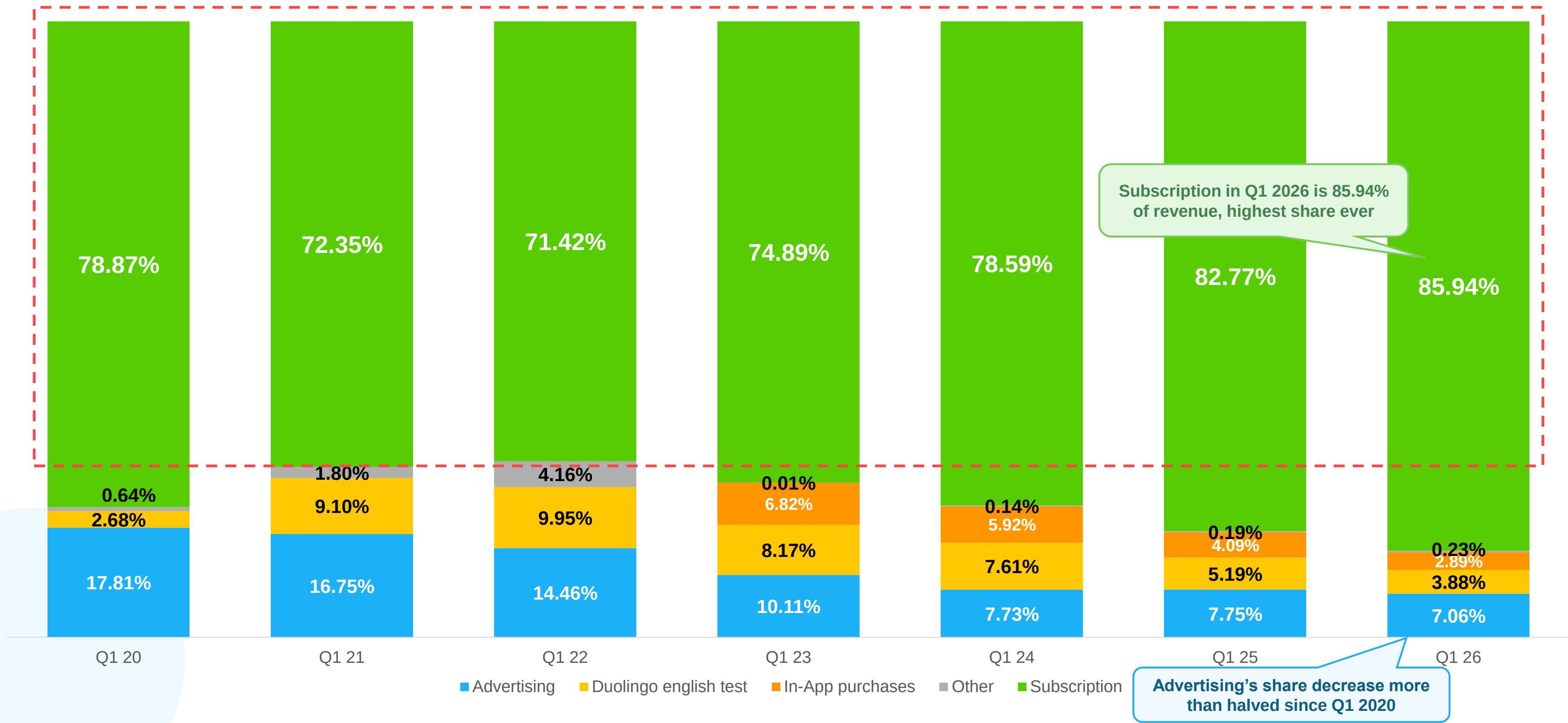
ALL-TIME QUARTERLY REVENUE (Q1 2020-Q1 2026)

Top-line revenue delivered **uninterrupted Q/Q expansion** across **all 25 consecutive quarters** since 2020, demonstrating exceptional baseline momentum with **zero revenue dips**.

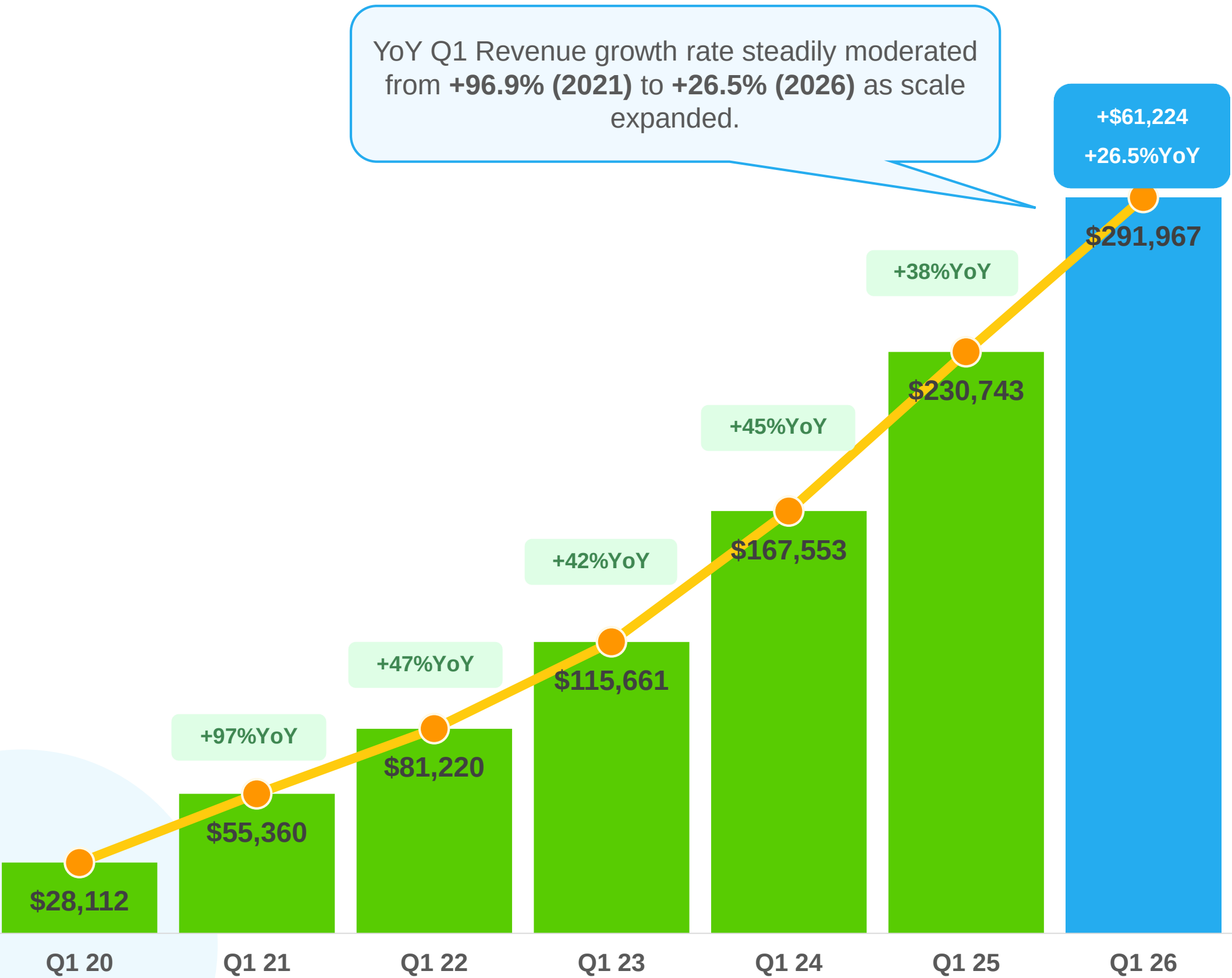


In Q1 2026, Subscription is Duolingo's dominant revenue driver, contributing 85.94% of total revenue, its highest share ever; while Advertising's contribution shrank to just 7.06%, less than half its Q1 2020 level

REVENUE MIX BY SEGMENT BY Q1 (2020-2026)



Q1 YOY GROWTH REVENUE COMPARISON (2020-2026)



What I See?

Q1 2026 saw the strongest quarter for revenue at \$291,967K, up 10.4x compared to Q1 2020. However, growth decelerated to +26.5% YoY, the lowest growth rate in the six-year series.

Why is that (breakdown metric):

This is likely correlated to a sharp decline in new customer acquisition efficiency; CAC jumped 3.9x YoY to \$130.83, while new member acquisition fell -62.5% YoY, even as Sales & Marketing spend grew +47.2% YoY.

WHY COULD OUR REVENUE INCREASE IN Q1 2026?

Revenue = Paid Subscriber x ARPU

Q1	Paid Subscribers	Y/Y Growth	ARPPU (Rev/Paid)	Y/Y Growth
2020	1.1M	—	\$ 20.16	—
2021	1.8M	+63.64%	\$ 22.25	+10.41%
2022	2.9M	+61.11%	\$ 20.00	-10.11%
2023	4.8M	+65.52%	\$ 17.96	-10.24%
2024	7.4M	+54.17%	\$ 17.80	-0.89%
2025	10.3M	+39.19%	\$ 18.54	+4.20%
2026	12.5M	+21.36%	\$ 20.07	+8.25%

Takeaway:

The growth in Q1 2026 revenue is primarily correlated to the consistent Y/Y growth of Paid Subscribers, with ARPPU only turning into a positive contributor in the most recent two years after declining throughout 2022-2024.

WHAT DROVE THE SUSTAINED GROWTH IN PAID SUBSCRIBERS?

Paid Subscriber = MAU x Conversion Rate

Q1	MAU	Conversion Rate
2020	33.5	3.28%
2021	39.9	4.51%
2022	49.2	5.89%
2023	72.6	6.61%
2024	97.6	7.58%
2025	130.2	7.91%
2026	137.8	9.07%

ARPPU = Subscription / Paid Subscriber

Q1	Subscription	Y/Y Growth	Paid Subscribers	Y/Y Growth
2020	\$22,171		1.10	
2021	\$40,055		1.80	
2022	\$58,010	+44.83%	2.90	+61.11%
2023	\$86,185	+48.58%	4.80	+65.52%
2024	\$131,688	+52.80%	7.40	+54.17%
2025	\$190,987	+45.03%	10.30	+39.19%
2026	\$250,908	+31.38%	12.50	+21.36%

Subscriber growth
outpaces subscription
revenue growth =
ARPPU ↓

Takeaway:

The Paid Subscribers growth in Q1 2026 is correlated to the simultaneous growth of both MAU (4.1x) and Conversion Rate (2.8x) over the same 2020-2026 period, indicating subscriber growth is driven by both a larger user base and improved conversion efficiency, not by one factor alone.

Q1 2026 revenue is up **10x** since Q1 2020, but CAC spiked **3.9x YoY** to **\$130.83**; signaling that **revenue growth is being driven by existing-user monetization**, not from new-customer acquisition

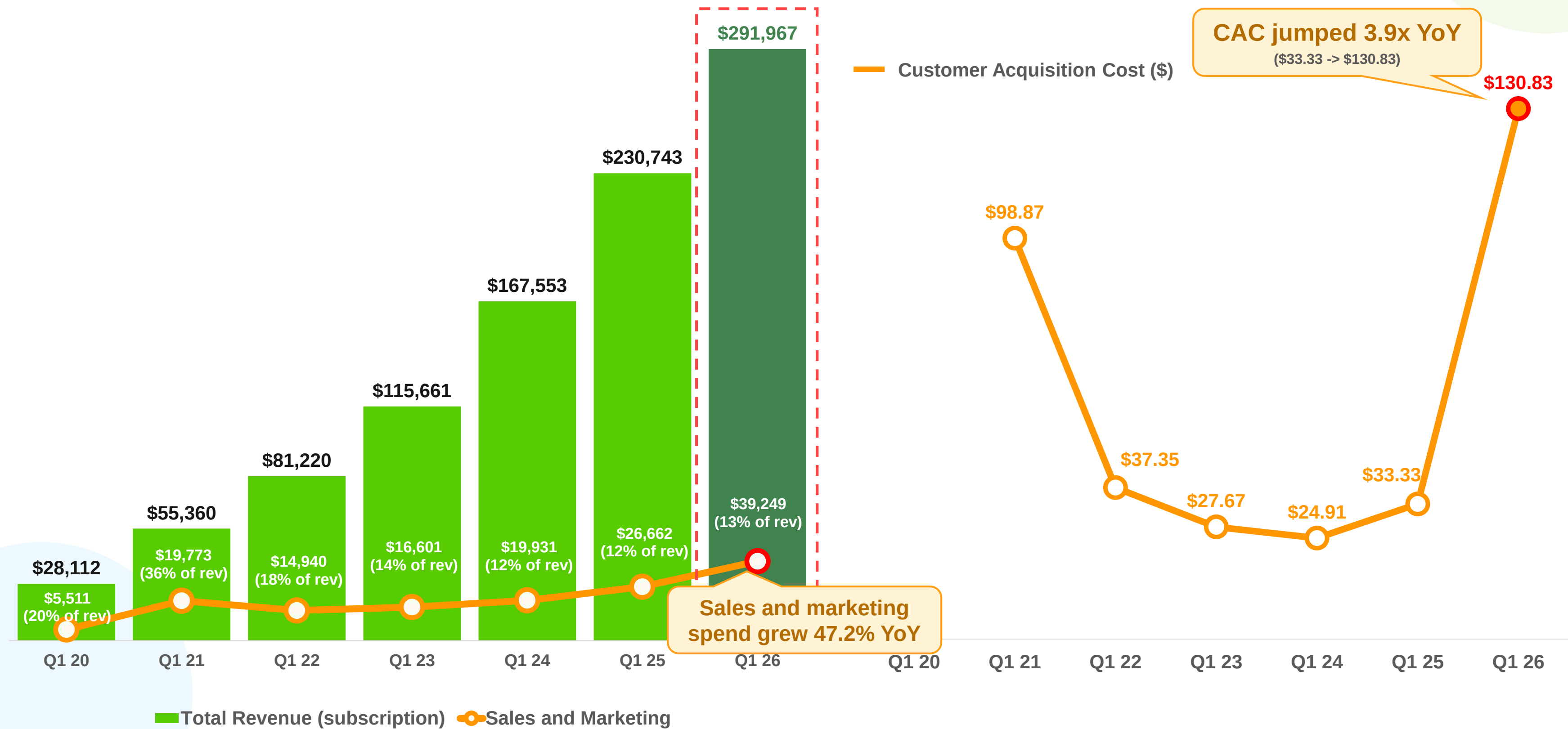


TABLE. Total Paid Subscribers Vs. Total New Members

Q1	Paid Subscribers	Y/Y Growth	New Member	Y/Y Growth
2020	1.1M	—	0.2M	—
2021	1.8M	+63.64%	0.2M	0%
2022	2.9M	+61.11%	0.4M	+100%
2023	4.8M	+65.52%	0.6M	+50%
2024	7.4M	+54.17%	0.8M	+33.33%
2025	10.3M	+39.19%	0.8M	0%
2026	12.5M	+21.36%	0.3M	-62.5%

New member acquisition fell 62.5% YoY (0.8M → 0.3M)

HYPOTHESIS

Q1 2026 revenue growth was driven by two sequential factors: subscriber base expansion (2020-2024) followed by improving monetization (2025-2026), with 97.6% of Q1 2026's paying base coming from existing subscribers. This shift appears forced by a sharp decline in new customer acquisition efficiency.

RECOMMENDATION

Marketing needs an efficiency audit. Determine whether the CAC spike is a temporary cost of new-market/infra investment or a structural funnel problem, before scaling spend further.